

THE BUDGET WISHLIST

- ▶ Rationalisation of income tax slabs so that the maximum rate of 30% starts for income above ₹15 lakh
- ▶ Increase in standard deduction from the current ₹75,000 in the new income tax regime
- ▶ Respite from TDS on interest on fixed deposits to help savers
- ▶ Rationalisation of rates of goods and services tax, which is under consideration by the GST Council

WHAT THE TAXMAN SAYS

- ▶ Rise in non-corporate tax due to several measures including anti-evasion initiatives and move to ease taxpayer compliance
- ▶ Non-corporate tax mop-up has overtaken corporate tax collection as the former includes dividend tax, securities transaction tax
- ▶ Tax burden remains low as income up to ₹7 lakh per annum exempt from income tax
- ▶ Budget 2024-25 revised income tax slabs, increased standard deduction and gave a higher deduction for family pension in new tax regime



mate of ₹11.87 lakh crore this fiscal. In the same period, net corporate tax collections came in at a lower ₹7.68 lakh crore.

Amid such buoyant direct tax collections, with the mop-up from non-corporate or PIT outshining that from corporate tax, the cry for a substantial rationalisation in tax rates has only grown. In fact, it was also an issue in the run-up to the General Elections in 2024 and the Union Budget for 2024-25. This was also discussed at a recent meeting of PM Modi with economists.

ON THE WISHLIST

A review of income tax slabs, especially the 30% slab that kicks in for annual incomes of ₹15 lakh and above, under both the new and old income tax regimes, could provide substantial relief to millions of taxpayers, especially those who live in cities and have been facing high inflation and poor salary hikes.

A higher standard deduction and some relief on savings, such as interest on fixed deposits, are other key

asks, along with rationalisation of rates in the GST. While the latter can only be decided by the GST Council, taxpayers are hoping that Finance Minister Nirmala Sitharaman will announce some goodies for them in the upcoming Budget.

Sacchidananda Mukherjee, Professor at the economic think tank National Institute of Public Finance and Policy (NIPFP), points out that personal income tax is paid largely by professionals and salaried individuals. "There is a need to review the income tax slabs, and the 30% slab should come into effect from an income of ₹25 lakh. There is a need to reduce personal income tax rates as the middle class is highly impacted," he underlines.

The upcoming Budget could be a game changer if the government prioritises the middle class' needs and rationalises both PIT as well as the GST, Mukherjee says. Private corporate investment remains stagnant at 11% of gross value added (GVA) since 2017-18 and 12% since 2011-12. Clearly, the corporate tax rate is just one factor